



United States
Attorney's Office
Eastern District of North Carolina



Largest North Carolina Behavioral Health Practice Agrees to Pay \$1.9 Million to Resolve Allegedly False Medicare Claims

Tuesday, December 2, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of
North Carolina

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RALEIGH, N.C. – Mindpath Care Centers, North Carolina, PLLC, North Carolina's largest behavioral health practice with offices statewide, along with former officers Jeff Williams, Abigail Sheriff, and Sarah Williams, paid \$1,900,000 to the United States to resolve allegedly false Medicare claims billed for psychotherapy and related services.

"This large settlement demonstrates our steadfast commitment to protect taxpayer money and to guard the integrity of our vital health care programs," said U.S. Attorney Ellis Boyle. "Behavioral health practices and other health care providers seeking Medicare funds must make honest claims for payment based upon documented medical need. We will hold those who abuse health care programs accountable. Our office will zealously pursue damages and civil penalties against medical practices who violate the laws."

"Health care professionals are expected to submit true and accurate billing, which is critical to protecting the integrity of the Medicare program," stated Special Agent in Charge Kelly J. Blackmon with the U.S. Department of Health and Human Services Office of Inspector General. "This settlement reflects the ongoing commitment of HHS-OIG and the U.S. Attorney's Office to addressing allegations involving improper billing practices and the potential exploitation of enrollees in our nation's federal health care programs."

This settlement arose from whistleblower allegations that Mindpath fraudulently billed for Psychotherapy and medication management sessions. The United States filed a complaint alleging that Defendants "systematically billed for fraudulent Psychotherapy treatments, without required documentation of the separate time and Psychotherapy treatments of patients to maximize their profits, all in blatant disregard of Medicare billing requirements."

More specifically, the Government alleged that, from 2018 to 2020, Mindpath billed Medicare without providing documentation of “separate and distinct Psychotherapy treatments”, “failed to adequately correct problems repeatedly raised by Mindpath employees,” and “demonstrated a pattern of reckless disregard or deliberate ignorance toward stated concerns about billing fraud” while being “primarily focused on generating income.” Ultimately, Mindpath agreed to pay \$1.9 million to resolve the False Claims Act allegations.

The False Claims Act mandates that the Government recover triple the money falsely obtained, plus substantial penalties for each false claim submitted, and attorneys’ fees and costs to the whistleblower. The civil claims resolved by settlement here are allegations only, with no judicial determination or admission of liability. The defendants deny these allegations.

This matter was handled in partnership between the United States Attorney’s Office of the Eastern District of North Carolina and the HHS Office of Inspector General. Assistant United States Attorney Neal Fowler represented the United States.

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